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PROBLEMS DeFi SOLVES

This chapter addresses DeFi's concrete solutions to the five flaws of traditional finance: inefficiency, limited access, opacity, centralized control, and lack of interoperability.

INEFFICIENCY

The first of the five flaws of traditional finance is inefficiency. DeFi can handle financial transactions with high volumes of assets and low friction that would generally be a large organizational burden for traditional finance. It does this by creating dApps: reusable smart contracts designed to execute